

Supplementary Opinion of the National Commission for Data Protection regarding the draft Grand-Ducal regulation on the rental of housing intended for affordable rental as provided for by the law on affordable housing

Deliberation No. 77/AV39/2023 of September 1, 2023

In accordance with Article 57.1.e) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Furthermore, Article 36.4 of the GDPR states that "[M]ember States shall consult the supervisory authority in the framework of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

On November 21, 2022, the National Commission issued an opinion on the draft Grand-Ducal regulation regarding the rental of affordable housing as provided for by the law on affordable housing. By letter dated July 24, 2023, the Minister of Housing invited the National Commission to express its opinion on the amendments made to the said draft Grand-Ducal regulation.

It should be noted that the text under review is an implementing regulation of draft law No. 7937 on affordable housing (hereinafter referred to as the "draft law") and primarily concerns the allocation of housing intended for affordable rental by the social landlord. However, this allocation procedure has been amended several times to take into account the requests of field actors. In its second supplementary opinion regarding the draft law, the CNPD noted that compared to what was provided in the initial text, the role of the national register of affordable housing (hereinafter referred to as the "RENLA") has been significantly reduced, or even eliminated. Thus, the principle that housing intended for affordable rental is allocated based on the priority list generated by the RENLA has been gradually abandoned, first for dedicated housing, and then for housing for all public. According to the understanding of the National Commission, it is now provided that the RENLA only intervenes during the verification of the eligibility of the applicant-tenant.

Regarding amendment 6, which aims to modify Article 5 of the draft Grand-Ducal regulation, the authors explain that it is appropriate to remove the reference to the priority list, also called the reduced list. Furthermore, this amendment adds a sentence indicating that the social landlord "enters the result of the evaluation of the allocation criteria carried out in accordance with Articles 3 and 4 into the computer tool made available by the State [i.e., the RENLA]." The CNPD questions what is meant exactly by "result of the evaluation of the allocation criteria." Why is it necessary to enter this result into the RENLA?

In general, the National Commission has difficulty understanding the normative added value that the draft Grand-Ducal regulation is supposed to bring. It also reiterates the observations regarding the uncertainties surrounding the purposes and functioning of the RENLA that it had notably expressed in its second supplementary opinion regarding the draft law.

Thus adopted in Belvaux on September 1, 2023.

For the National Commission for Data Protection

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